

Table 45.6 Volume Statistics

Description	Bull Market, Up Breakout	Bear Market, Up Breakout	Bull Market, Down Breakout	Bear Market, Down Breakout
Volume trend	79% down	79% down	74% down	74% down
Rising volume trend performance	41%	27%	−14%	−23%
Falling volume trend performance	32%	19%	−13%	−22%
Heavy breakout volume performance	34%	22%	−13%	−22%
Light breakout volume performance	26%	13%	−12%	−24%

Table 45.7 shows how often price reaches a stop location.

I'm surprised that the hit rate for stops is as low as it is (36% to 48%, depending on breakout direction). Often we see rates about 70% for other chart pattern types.

Gaps, however, are known support and resistance areas (but weak ones). Maybe the combination of a dual gap sharing a common price improves the strength. For whatever the reason, the numbers are what they are.

For example, if you have an island bottom (upward breakout), price will return to the pattern's top 42% to 48% of the time as it searches for the ultimate high. Similarly, a stop placed at the bottom of an island top will trigger between 36% and 43% of the time as price looks for the ultimate low. Once price finds the ultimate high or low, I stopped checking to see if a trade was stopped out, so price might have returned to the pattern thereafter and snagged the stop.